

45. **Lease to a trustee.** — Trustees of charities cannot grant *leases* to or in trust for *one of themselves*, for no trustee can be a tenant to himself, and the Court will charge him with an occupation rack-rent (*b*). Where two trustees were expressly authorised by the will to grant a lease to themselves, or either of them, with the consent of the tenant for life, and one of them took a lease with such consent accordingly, which was fair and proper, but it was found in effect that the relative characters of trustee and lessee were inconsistent, and led to inconveniences, the Court removed the trustee at the instance of the *cestuis que trust*, on the ground of the repugnant characters in this particular case of trustee and tenant; and though the trustee offered to surrender the lease, the Court, as it was beneficial to the *cestuis que trust*, held him to it, and dismissed him from the trust (*c*).

46. **Relations.** — Trustees should be cautious how they grant leases to their own *relations*, for that circumstance is calculated to excite a suspicion, which, if confirmed by any other fact, it might require a strong case to remove (*d*).

47. So a lease should not contain any covenant for the private advantage of the trustee; as where a corporation directed the insertion of a covenant that the lessee should grind at the corporation *mill, in a suit for [*543] the establishment of the charity the corporation were, for this instance of misbehaviour, disallowed their costs (*a*).

48. **Fines or rack-rent.** — Where trustees have a power given to them in general terms to grant leases, it is said that they may take *fin*es or reserve *rents* as, according to the circumstances of the case, may be most beneficial to the charity (*b*). If the trust estate held on lease increase in value upon the outlay of the *tenant*, the trustee is not called upon immediately to raise the tenant's rent, for such a practice would obviously prevent any improvement of the prop-

(*b*) Attorney-General v. Dixie, 13 Ves. 519, see 534; Attorney-General v. Earl of Clarendon, 17 Ves. 491, see 500.

(*c*) Passingham v. Sherborn, 9 Beav. 424.

(*d*) Ferraby v. Hobson, 2 Ph. 261,

per Lord Cottenham; and see *Ex parte Skinner*, 2 Mer. 457.

(*a*) Attorney-General v. Mayor of Stamford, 2 Sw. 592, 593.

(*b*) Attorney-General v. Mayor of Stamford, 2 Sw. 592. See now p.

546, *infra*.